



## CHAPTER 47.

An Act to extend the powers of the Board of Trade to give guarantees for the purpose of establishing or encouraging overseas trade; to enable the Board to acquire and dispose of securities guaranteed by them under this Act or under the Export Guarantees Act, 1939, and for purposes connected with the matters aforesaid.

[28th July 1939.]

**B**E it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

### PART I.

#### *Power to give guarantees.*

1.—(1) For the purpose of establishing or of encouraging trade, or any branch of trade, between the United Kingdom and any country, the Board of Trade may, with the consent of the Treasury, make arrangements for giving guarantees to, or for the benefit of, a person carrying on business in the United Kingdom in connection with any matter in connection with which it appears to them to be expedient in the national interest that guarantees should be given.

Further  
power to  
give  
guarantees.

(2) The aggregate amount of the liability at any time of the Board of Trade in respect of guarantees given under this section or under section four of the Export Guarantees Act, 1939, exclusive of any liability in respect

2 & 3 Geo. 6.  
c. 5.

PART I.  
—cont.

of interest on any principal moneys the payment of which is so guaranteed, shall not exceed the sum of sixty million pounds and, further, the aggregate amount of such liability (exclusive as aforesaid) in respect of guarantees so given otherwise than in connection with the export, or agreements for the export, of home-produced goods shall not exceed the sum of six million pounds.

(3) Without prejudice to the generality of the language of the last preceding subsection, guarantees given in connection with any of the following matters shall be deemed for the purposes of this section to be given in connection with the export, or, as the case may require, with an agreement for the export, of home-produced goods, that is to say—

- (a) sales and agreements for sale of home-produced goods which at the time of the sale or agreement are intended by the purchaser for export;
- (b) sales and agreements for sale of home-produced goods which at the time of the sale or agreement have already been exported by, and are held in a country outside the United Kingdom by or on behalf of, a person carrying on business in the United Kingdom; and
- (c) the execution outside the United Kingdom of works or services (including the provision of labour or material obtained outside the United Kingdom) in connection with home-produced goods exported or agreed to be exported, where the contract in pursuance of which those goods are exported, or by which those goods are agreed to be exported, provides for the execution of those works or services and the Board of Trade are satisfied that such provision is reasonable, having regard to the nature of the contract and to all the circumstances of the case:

Provided that, for the purposes of the last preceding subsection, where a guarantee is given in connection with the execution outside the United Kingdom of such works or services in connection with home-produced goods as are referred to in paragraph (c) of this subsection, the

guarantee shall not be deemed to have been given in connection with the export, or agreement for the export, of home-produced goods, if and in so far as the liability of the Board of Trade in respect of that guarantee exceeds an amount equal to one-third of the price fixed as the price of those goods by the contract in pursuance of which they are exported, or by which they are agreed to be exported.

PART I.  
—cont.

2. The Board of Trade shall publish half-yearly a return showing, as respects each country in relation to which guarantees have been given under section one of this Act since the date of the last previous return, or, in the case of the first return, since the commencement of this Act, the aggregate amount of the guarantees so given.

Returns  
as to  
guarantees.

The first return made under this section shall include the like information with respect to guarantees given under section four of the Export Guarantees Act, 1939, before the commencement of this Act.

## PART II.

### *Acquisition of guaranteed securities.*

3. The Board of Trade may, with the consent of the Treasury, acquire any securities which the Board have guaranteed in the exercise of their powers under this Act or, whether before or after the passing of this Act, in the exercise of their powers under the Export Guarantees Act, 1939, and may, with such consent as aforesaid—

Power of  
Board of  
Trade to  
acquire  
securities  
guaranteed  
by the  
Board.

- (a) hold any such security so acquired for such period as they think fit and collect any sums falling due, whether by way of principal or of interest, in respect thereof; and
- (b) dispose of any such security so acquired at such time and in such manner as they think fit.

4.—(1) The Treasury may from time to time issue to the Board of Trade out of the Consolidated Fund of the United Kingdom or the growing produce thereof (hereafter in this Act referred to as “the Consolidated Fund”)

Financial  
provisions.

PART II.  
—cont.9 & 10  
Geo. 5. c. 37.

on such terms and conditions with respect to repayment and payment of interest and otherwise as the Treasury may think fit, such sums as may be required to enable the Board to acquire securities under the last preceding section, and for the purpose of providing for the issue of such sums, or any part of such sums, or for the replacement of all, or any part, of sums so issued, the Treasury may from time to time raise money in any manner in which they are authorised to raise money under and for the purposes of subsection (1) of section one of the War Loan Act, 1919, and any securities created and issued to raise money under this subsection shall be deemed for all purposes to have been created and issued under the said subsection (1).

(2) For the purposes of this Part of this Act, there shall, in accordance with directions given by the Treasury, be established a fund to be called the Acquisition of Guaranteed Securities Fund (hereafter in this section referred to as "the Fund") which shall be under the control and management of the Board of Trade.

(3) The Board of Trade shall pay into the Fund—

- (a) all sums issued to them out of the Consolidated Fund under subsection (1) of this section; and
- (b) all sums received by them in respect of securities acquired under the last preceding section.

(4) The Board of Trade shall out of the Fund—

- (a) pay any sums required for the acquisition of securities under the last preceding section;
- (b) repay, or pay, into the Exchequer any sums issued to them out of the Consolidated Fund under subsection (1) of this section and interest on those sums; and
- (c) pay into the Exchequer, at such times and in such manner as the Treasury may direct, any amount by which the sums received by the Board in respect of securities acquired under the last preceding section exceed the sums required to make repayments and payments under paragraph (b) of this subsection.

(5) Of any sums received into the Exchequer under the last preceding subsection—

PART II.  
—cont.

- (a) so much as represents interest on issues out of the Consolidated Fund under subsection (1) of this section shall be issued out of the Consolidated Fund and applied in payment of an equivalent amount of interest which would, but for this provision, have been paid out of the permanent annual charge for the National Debt;
- (b) so much as represents repayment of such issues shall be issued out of the Consolidated Fund and applied in redeeming, or paying off debt of such description as the Treasury think fit; and
- (c) the remainder may, if the Treasury think fit, be issued out of the Consolidated Fund and applied as mentioned in the last preceding paragraph.

(6) The Board of Trade shall prepare, in such form and manner as the Treasury may direct, an account of the sums received into and paid out of the Fund in each financial year, and shall, on or before the thirtieth day of November in each year, transmit the said account to the Comptroller and Auditor-General who shall examine and certify the account and lay copies thereof together with his report thereon before both Houses of Parliament.

### PART III.

#### *General.*

5.—(1) Subject to the provisions of subsection (4) of the last preceding section, all expenses incurred by the Board of Trade under this Act shall be defrayed out of moneys provided by Parliament, but in the event of any amount required for fulfilling any guarantee given under this Act not being paid out of such moneys, it shall be charged on and issued out of the Consolidated Fund.

Provision  
of moneys  
to meet  
expenses of  
Board.

(2) Subject to the provisions of subsection (3) of the last preceding section, all sums received by the Board of Trade in connection with any guarantee given by them under this Act shall be paid into the Exchequer.

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*Act, 1939.*

PART III.  
—*cont.*  
Exercise of  
powers of  
Board of  
Trade.

6. Anything authorised by this Act to be done by or to the Board of Trade may be done by or to the President, a Secretary, an Under-Secretary, or an Assistant Secretary, of the Board, or by or to any person authorised in that behalf by the President of the Board.

Interpreta-  
tion.

7.—(1) In this Act—

“export” means export from the United Kingdom;

“home-produced goods” means goods wholly or partly produced or manufactured in the United Kingdom;

“securities” includes bonds, shares, bills and promissory notes.

(2) The amount of any principal or interest which would be payable by the Board of Trade in respect of their guarantee of any security held by them under this Act, if that security were held by another person, shall be deemed for the purposes of section five of this Act to be an expense incurred by the Board under this Act and for the purposes of subsection (3) of section four of this Act to be a receipt by the Board in respect of that security.

(3) A guarantee given under this Act may be given upon such terms and conditions as to commission and otherwise as may be determined in accordance with the arrangements made for giving that guarantee.

Repeal.

8. Sections four and five of the Export Guarantees Act, 1939, are hereby repealed.

Short title.

9. This Act may be cited as the Overseas Trade Guarantees Act, 1939.

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